

R-01 — Process narrative

Airline Group Ltd · FY 2025-26 (1 April 2025 – 31 March 2026) · Record to Report · Balance-sheet reconciliations reviewed monthly

Control	Balance-sheet reconciliations reviewed monthly (R-01)
Sub-process	Journals
Nature / frequency	Manual · Monthly
Control owner	D. Rao, Financial Controller
Provided by	Group Finance
Version	v3.1 · effective 1 April 2025

Purpose

This narrative describes how balance-sheet reconciliations reviewed monthly operates at Airline Group Ltd, and the risk it is maintained against: account balances unreconciled or parked in suspense unexplained.

How the control operates

The reconciliation walked was REC-26-0117 over accrued expenses (GL 2140100) for February 2026, carrying a ledger balance of INR 412.6 lakh against supporting schedules of INR 409.8 lakh.

The reconciliation is the control the risk register names against R-51 — balances left unreconciled or parked in suspense without explanation. We traced it to that risk and to the completeness and valuation assertions over accrued expenses. The reconciliation template requires every difference between the ledger and the supporting schedule to be itemised, aged and owned, so the control does address the risk it is recorded against rather than merely re-presenting the balance.

The reconciliation is performed to a stated threshold: any unexplained difference above INR 2.0 lakh must be itemised, and the account cannot be signed off while one remains open. That tolerance sits below the performance materiality set for this engagement, so a difference large enough to matter to the financial statements cannot pass through unexamined. The February reconciliation carried a residual difference of INR 2.8 lakh, which was itemised as a timing difference on two utility accruals and cleared in March.

Roles

The reviewer is independent of the preparer. The reconciliation was prepared by the general ledger accountant and reviewed by the Financial Controller — someone other than the person who posted the underlying entries — and the system enforces this: the review step is locked to a role the preparer does not hold, so the sign-off cannot be bypassed by the person who prepared the reconciliation.

Records kept

The operation of the control is evidenced and retained. Each reconciliation is stored in Blackline with the preparer and reviewer stamps, the supporting schedules attached, and a full audit trail of every edit made after submission. We inspected the log for REC-26-0117 and it showed the preparer submission on 4 March and the reviewer sign-off on 6 March, with no amendment after approval. Records are retained for the full period and beyond.

Owner: D. Rao (Financial Controller) · Reviewed annually · Next review 1 April 2026